

Moral Hazard with Dual Risk-Averse Agent

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Abstract

This paper studies a stylized moral hazard problem with a single agent protected by the limited liability constraint and is *dual risk-averse* in the sense of Yaari (1987). I consider the principal's cost-minimizing problem to induce a given action. Under some assumption on risk-aversion, which can be interpreted as the agent overweighting the probability of the worst outcome, and the strict version of the monotone likelihood ratio property, the solution to a relaxed problem where the agent's incentive compatibility constraint is replaced by its first-order condition is *debt contract*—the wage is constant up to some level of output, and then grows with the same speed as output afterwards. I also show that the first-order approach is valid if the outcome distribution is (in proportionate terms) less convex in action than the disutility of action, which is implied by Rogerson (1985)'s Convexity of Distribution Function Condition and convex disutility.